Ambition: “Enable children and youth in coffee communities to complete quality education and gain skills for decent work, enhancing community resilience and Ily’s long-term supply.”

ILLY IMPACT ASSESSMENT

SDGs

- SDG 4: Quality Education
- SDG 8: Decent work and Economic growth
- SDG 10: Reduced Inequalities
- SDG 12: Responsible Consumption and Production

STRATEGIC ALIGNMENT:

- Education is treated as a structural lever of change, addressing immediate barriers (access, attendance, skills) and long-term socioeconomic outcomes.
- Primary focus on SDG 4 (Quality Education), with spillover effects on SDG 8 (Decent Work) and SDG 10 (Reduced Inequalities) and SDG 12 (Responsible Consumption and Production)

→ Reduced school drop-out and child labour; improved future employability and income stability

IMPACT AMBITION

Enable children and youth in coffee-producing communities to complete quality education and gain skills for decent work, strengthening long-term community resilience.

Measurement approach

- Clear distinction between outputs, outcomes and impacts
- Indicators aligned with SDG indicators and GRI social standards

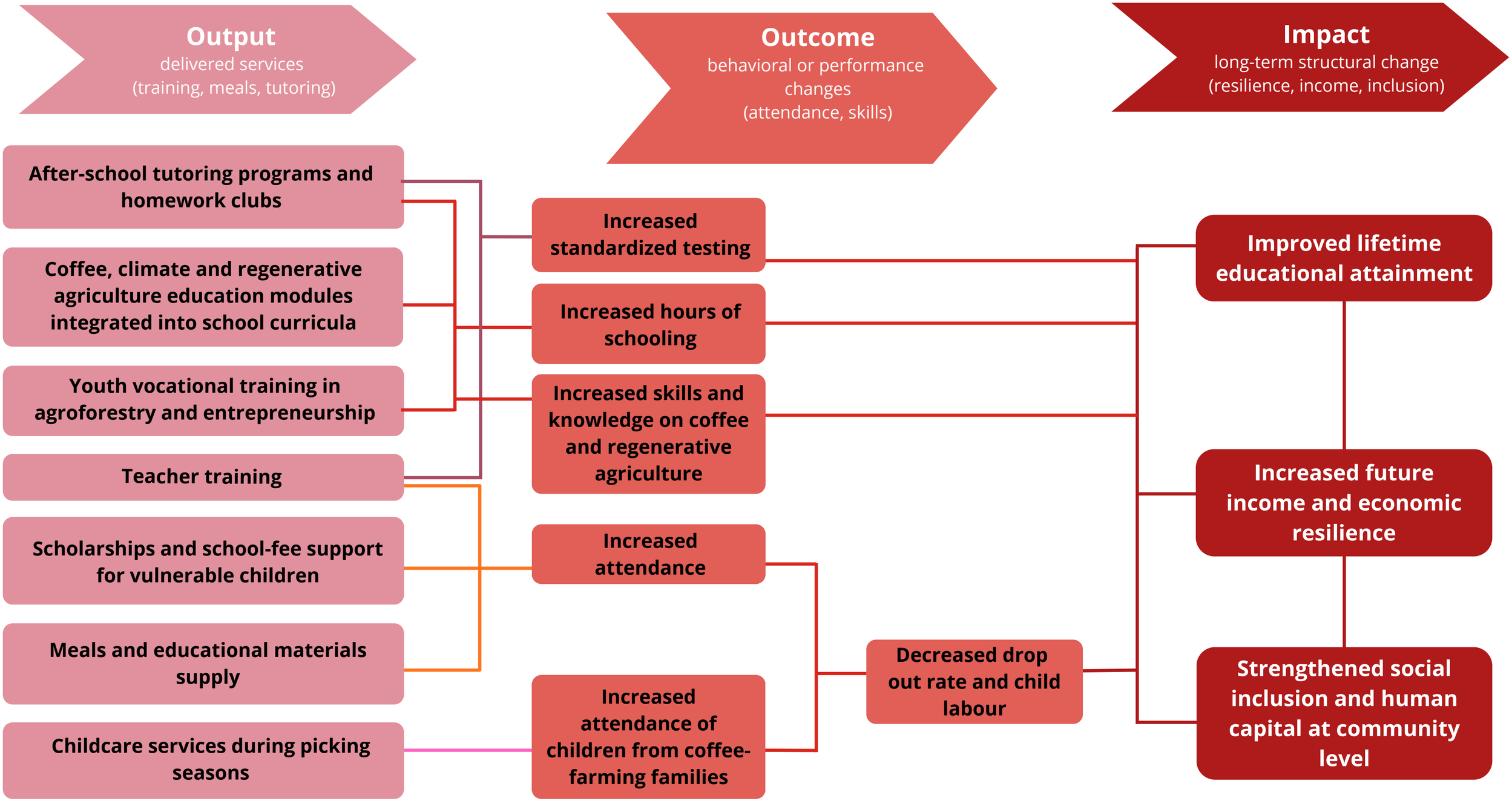
Additional Slide Notes*

Illycaffè was founded back in 1933, and it is an Italian family business. It is actively present in every stage of the global coffee value chain.
The business model of Illycaffè is specifically focused on sustainability. Over the years, Illy has focused its sustainability goals not just on the environment but rather integrated sustainability in its economic viability, societal development, and responsible sourcing. The stand of Illycaffè took an institutional shape when it turned into Benefit Corporation back in 2019.

One of the primary tools in Illy's social sustainability approach for improved day-to-day conditions in coffee-producing countries is education, which Illy finds to be a structural driver of social well-being in such countries. It can be understood that in coffee-producing communities around the world, a lack of access to education, the need for seasonal workers, and a lack of economic opportunities can impact generations of children in terms of child labor, human capital, and poverty. The project in this assessment helps overcome such issues.

In particular, this initiative is targeted at enhancing quality education and attendance at schools and also at skills development and agriculture skills that relate to coffee production. By creating quality outcomes and employability outcomes, this initiative will have long-run social and economic outcomes while at the same time ensuring the sustainability of Illy’s value chain. In essence, it is appropriate to use this initiative for impact assessment since it is capable of determining and measuring impact value outcomes that relate to outputs and long-run outcomes based on goals such as SDG 4 (Quality Education), SDG 8 (Decent Work and Economic Growth), and SDG 10 (Reduced Inequalities).

	Outside in perspective		Inside out perspective
Stakeholders	**Interests, needs or expectations of stakeholders**	**Capacity and motivation in product and service development**	**Possible actions to address stakeholder interest and needs**
Children and Youth in coffee producing areas (main beneficiaries)	Safe learning spaces, regular schooling even in harvest time, access to vocational/agribusiness skills for future employment	High learning motivation but constrained by cost, distance, and the need to accompany parents to plantations	Fund school shelters and mobile classrooms, supply meals and materials, provide vocational and entrepreneurship training for youth related to regenerative coffee and local supply chains
Communities (farmer's families, village leaders)	Better life prospects for children, less child labour, stable rural communities that can cope with climate and economic shocks	Strong informal networks, parent associations and cooperatives that can mobilise families and support local initiatives, willingness to collaborate when programs respect harvest calendars and cultural norms	Support community learning centers and childcare during picking seasons (Casa de la Alegría, shelters in Nicaragua and Guatemala), co-design education calendars aligned with harvests offer grants to ease economic pressure on families
Schools, teachers and educational NGO's	Base education given to all children, improved infrastructure and teaching quality in rural areas, inclusive education for girls, integration of climate and agriculture content.	Existing school infrastructures, presence of NGOs such as "Seeds for Progress" and "Save the Children" already active in target regions could support Illy's actions	Co-finance classrooms, teaching materials, and teacher training to create local jobs develop curricula on coffee, climate, and regenerative agriculture building on the expertise from Università del Caffè
Local and national authorities	Progress on SDG 4, 8, 10 and 12, reduced school drop-out and child labour, more educated community, alignment with national education and rural-development plans	External aid and investments in educational programs and productive activities focused on the economic development of the region	Sign partnership agreements, co-fund school infrastructure, integrate Illy programs into local education strategies, share data to monitor indicators


Output
delivered services
(training, meals, tutoring)
Outcome
behavioral or performance changes
(attendance, skills)
Impact
long-term structural change
(resilience, income, inclusion)
After-school tutoring programs and homework clubs
Coffee, climate and regenerative agriculture education modules integrated into school curricula
Youth vocational training in agroforestry and entrepreneurship
Teacher training
Scholarships and school-fee support for vulnerable children
Meals and educational materials supply
Childcare services during picking seasons
Increased standardized testing
Increased hours of schooling
Increased skills and knowledge on coffee and regenerative agriculture
Increased attendance
Increased attendance of children from coffee-farming families
Decreased drop out rate and child labour
Improved lifetime educational attainment
Increased future income and economic resilience
Strengthened social inclusion and human capital at community level

Additional Slide Notes*

Illy's intervention is premised on the belief that structural limitations to accessing education in coffee-producing communities, as constituted through poverty, seasonal work requirements, and the availability of schooling facilities, lead to child labor, skill deficits, and economically fragile lives. The project believes that if such limitations can be mitigated through comprehensive interventions in the areas of education, finance, and social support, individual and collective lives can be changed. By providing after-school tutoring classes, scholarships, meals, child-care facilities, and skill development programs connecting to sustainable and regenerative agriculture practices, Illy improves the availability of and conditions for education in the short run. This will arguably improve attendance rates, reduce dropout rates, increase skill development levels, and improve overall employability in the medium term. In the longer term, this improves individual and collective earnings, breaks the inter-generational poverty cycles, and improves overall economic resilience among the coffee-producing communities – both for social development and chain sustainability.

OUTPUT MEASURES

Output	Indicator	Metrics	Means of gathering data
After-school tutoring programs and homework clubs (SDG 4)	Course completition	% of completed courses on initial attendees	Electronic register (Database Method)
Coffee, climate and regenerative agriculture education modules integrated into school curricula (SDG 4, 12)	Student knowledge acquisition on climate and regenerative agriculture	% of schools completing the program	Student's with scores over minimum treshold on fixed tests (70%)
Youth vocational training in agroforestry and entrepreneurship (SDG 4, 8)	Certification achivement rate	Total Number of certifications issued	Competency tests (quantitative) + Official certifying body
Teacher training (SDG 4, 8)	Teacher's completing the training	Number of hours issued per teacher	Pre-test / Post-test (quantitative)
Scholarships and school-fee support for vulnerable children (SDG 10)	Schools cost covered by scholarships	Average amount of $ issued per child	Financial Spreadsheet (Database)
Meals and educational materials supply (SDG 10)	Meals access and distribution	% of children with regular access to meals	Distribution register (quantitative)
Childcare services during picking seasons (SDG 8)	Childcare access and utilization	% of Families using the service / total families	Daily attendance rate (quantitative)

Additional Slide Notes*

Output measures capture what is perceived as immediate and tangible results of Illy's educational interventions, assessing if planned activities were implemented as intended. They pertain to delivery, reach, and participation, such as course completion rates, number of certifications issued, meals distributed, and access to childcare services. Most of the indicators are administrative and operational data based, a fact that enhances their reliability and feasibility considerably. Nevertheless, while output measures are needed to ensure programs are executed as planned, they cannot provide the desired level of information about behavioral changes, quality of learning, and long-term social outcomes.

The most important metrics that capture the main levers through which Illy’s intervention operates.
First, the completion rates of the courses are considered appropriate in the sense that they show the extent to which the learning activities are not only provided but are followed by the participants in the learning process, which is important in the context where school-going periods can easily be interrupted by financial and seasonal limitations. Second, the completion rates of the certification achievement are important in the sense that they show the achievement of the recognized skills, particularly in the areas of training in the field of agriculture and vocations, which can lead to job and financial empowerment. Childcare availability and utilization rates are finally added because the issue it raises is essentially a major structural issue in coffee production areas where the involvement of children is a necessity in order to accompany their migrant parents to farms when harvest seasons come.

OUTCOME MEASURES

Outcome	Indicator	Metrics	Means of gathering data
Increased hours of schooling	Average instructional time per student	• Average hours/week per student • % increase vs baseline year	• School schedules • Attendance registers • Comparison with baseline data
Increased standardized testing results	Student academic performance relative to standards	• Mean test score per subject • % of students meeting proficiency • Score change vs previous year	• National or regional standardized tests • School academic records
Increased attendance	Student attendance rate	• % average attendance per month/year • Number of days absent per student	Daily attendance registers
Decreased drop out rate	Student retention rate	• % of students completing the school year • Dropout rate (%)	Enrollment records (start vs end of year)
Increased attendance of children from coffee-farming families	Enrollment and attendance of target group	• % of enrolled students from coffee-farming households • Attendance rate of this group	• Enrollment forms (household occupation) • Attendance records • Baseline vs endline comparison

Additional Slide Notes*

Outcome measures show short- to medium-term changes experienced by beneficiaries as a result of the program, in educational engagement and performance. Indicators include attendance rates, instructional time, academic results, and student retention that show behavioral and capability changes linking outputs to longer-term impacts. The measures here often depend on baseline and endline comparisons and, where possible, national benchmarks that put the results into context. Nevertheless, outcomes can be driven by external factors outside the program's control, further limiting full causal attribution.

The outcome metrics were selected because they describe behavioral and performance changes that are a direct consequence of Illy's educational interventions and serve as a link between outputs and the long-term impact. Where softer indicators of engagement exist, measures such as instructional time and attendance rate were chosen because they reflect objectively whether access barriers-such as seasonal labor and household demands-are being reduced. Standardized test results are measured because they allow learning gains to be measured against recognized benchmarks, assuring that increased participation actually translates into real educational gains from having children merely present in the classroom. Retention and drop out were selected instead of short-term participation measures because they proxy sustained commitment to longer-term education essential for long-term skill development. Finally, by targeting children from only coffee farming households, one can be assured that the outcomes being measured are coming from the project's target population, and therefore structural inequalities within the coffee communities are being addressed. Overall, these metrics are relevant because they are quantifiable, comparable, and highly associated with the theory of change, and important since they will prove if any meaningful educational progress is being achieved from the intervention beyond the actual program delivery.

IMPACT MEASURES

Impact	Indicator	Metrics	Means of gathering data	GRI Alignment
Improved lifetime educational attainment	• Highest level of education completed by former students • Transition rates to secondary / post-secondary education	• Average years of schooling completed • % of children completing lower secondary education, secondary and post-secondary	• Direct follow-up surveys • Ministry of Education or national education databases • School transition and certification records	**GRI 404 – Training and Education** By supporting access to schooling and educational progression for children of coffee-farming families, the project contributes to improved employability, skills development, and future livelihood opportunities, extending beyond direct employees to value-chain communities
Increased long-term economic resilience, and poverty reduction in coffee-farming communities	• Employment and income outcomes of beneficiaries in adulthood • Intergenerational socioeconomic mobility • Reduction in child labor and low-skilled agricultural dependency	• % of beneficiaries above the national poverty line • Average income of adult beneficiaries • % of beneficiaries in stable or formal employment • Education level of beneficiaries compared to their parents • School attendance rate of beneficiaries' children	• Direct follow-up surveys and household surveys • Partner NGO or government monitoring reports • Proxy indicators (education level × employment probability) • Comparative analysis (beneficiaries vs non-beneficiaries) • Community-level poverty statistics	**GRI 203 – Indirect Economic Impacts** **GRI 408 – Child Labor** The project generates indirect economic impacts through income mobility and resilience, as well as mitigate child labor risks through sustained school attendance in coffee-farming communities
Strengthened social inclusion and human capital at community level	• Educational equity across groups • Community literacy and skill levels • Social participation	• Variation in education gap between coffee-farming and non-coffee households • Adult literacy rate in the community • % youth completing secondary education • Participation in community activities or local decision-making	• Community-level education statistics • Qualitative surveys • Local government or NGO reports • Periodic community assessments	**GRI 413 – Local Communities** Aligned with GRI 413 by contributing to inclusive community development, strengthened local human capital, and long-term social resilience in coffee-growing regions

Additional Slide Notes*

Such impact metrics assess long-term and deep structural transformation with respect to education outcomes, income generation, and inclusion in communities growing coffee. Such metrics lie in human capital creation and development, resilience through economic development, and social mobility and outcomes at the communal level that are rooted in Sustainable Development Goals. Because such impact is normally assessed over long periods and tackles very complex causality, it necessarily employs proxy metrics and data that comes from information gathered by survey and partner institutions.

Within this framework, Illy's impact ambition focuses on strengthening human capital in coffee-producing communities by enabling children and young people to complete quality education and develop skills that support access to decent work. Education is understood not only as a measurable outcome, but as a lived process that shapes individual aspirations, expands opportunities, and supports more autonomous and resilient life paths over time.
From a strategic standpoint, education functions as the core structural lever of change within the impact value chain. Accordingly, SDG 4 (Quality Education) represents the primary objective, as the main activities directly target access to schooling, school attendance, and skills development, in line with SDG targets 4.1 (completion of quality primary and secondary education) and 4.4 (development of relevant skills for employment and decent work). SDG 8 (Decent Work and Economic Growth) is closely and causally linked to this pathway: improved educational attainment and skills increase future employability and income opportunities for youth in coffee-producing communities, contributing in particular to SDG target 8.6, which aims to reduce the share of young people not in employment, education or training.

SDG 10 (Reduced Inequalities) is therefore considered a secondary SDG, as it is addressed indirectly through expanded access to education for vulnerable and indigenous groups, contributing over time to reduced social and economic disparities. SDG 12 (Responsible Consumption and Production) plays a contextual and enabling role, supporting sustainable supply chain practices and responsible sourcing, but it is not directly targeted by the education-focused interventions described in the impact value chain.
Consistent with the long time horizons and complex causal relationships that characterise these impacts, the measurement approach clearly distinguishes between outputs, outcomes, and long-term impacts. Indicators are aligned with SDG targets and GRI social standards and rely on a combination of direct and proxy measures, drawing on surveys, administrative sources, and partner institutions. This allows the assessment to remain methodologically robust while keeping human development and community resilience at the centre of the analysis.